

MORNING BRIEFING

Saturday, 4 July 2026 | Generated 06:20 BST (London) | Data collected 04:30-06:15 GMT, 4 July 2026

Markets are closed today and tomorrow (weekend). US exchanges were also shut Friday 3 July for Independence Day. This briefing previews the reopen for **Monday 6 July**, using Friday 3 July's European close (last European session) and Thursday 2 July's US and Asia closes (last sessions before the holiday weekend) as the reference points. All figures below are sourced from live web searches run this session; anything not reliably confirmed is marked n/a.

1. HEADER

Morning Briefing for pre-open Monday 6 July 2026, London time. Report generated Saturday 4 July 2026, 06:20 BST, ahead of the weekend close. Next European cash equity open: Monday 6 July, 08:00 BST (LSE) / 09:00 CEST (Euronext, Deutsche Börse).

2. IMPORTANT NEWS

US June payrolls miss sharply: +57,000 vs +113,000 expected, unemployment rate ticks up to 4.2%

Source: [CNBC](#), [Reuters-sourced market wraps](#) (2 Jul 2026)

Why it matters: cools near-term Fed rate-hike urgency, pushed the dollar and Treasury yields lower, and was the single biggest driver of Thursday's global equity rally and gold's push to record highs.

European shares close at a 52-week high; Stoxx 600 +0.69% Friday, fourth straight weekly gain

Source: [CNBC live markets blog](#), [Investing.com](#) (3 Jul 2026)

Why it matters: confirms broad-based European risk-on tone into the weekend, led by banks and cyclicals on rate-relief hopes from the US jobs miss.

Kospi plunges 7.89% and Shanghai Composite falls 2% as AI/semiconductor overcapacity fears hit Asia

Source: [Seoul Economic Daily](#), [Yahoo Finance](#) (2 Jul 2026)

Why it matters: sharpest sell-off of the week in Asia tech, a warning sign that the AI-capex doubts rattling US chip stocks (Teradyne, KLA, Lam Research) could spill into Monday's European and US sessions.

Tesla shares fall 7% despite beating Q2 delivery estimates; broad semiconductor sell-off deepens

Source: [CNBC](#) (2 Jul 2026)

Why it matters: signals investors are looking past headline delivery beats toward margins and AI capex payoff, a read-through for growth/tech positioning into next week.

Strait of Hormuz tensions flare again: tit-for-tat US-Iran strikes over the weekend despite June 17 ceasefire MoU

Source: [Al Jazeera](#), [Congress.gov CRS brief](#) (late Jun/early Jul 2026)

Why it matters: keeps a geopolitical risk premium in oil and shipping; any escalation over the weekend is the key headline risk for Monday's open, even as commercial transits have been gradually recovering.

3. EUROPEAN FUTURES (PRE-OPEN)

Markets are closed for the weekend; Eurex/ICE futures resume Sunday evening (~23:00 CET). No live pre-open pricing is available at the time of this briefing. Levels below are Friday 3 July reference closes, not futures quotes.

CONTRACT	REFERENCE (FRI CLOSE)	EXPECTED MOVE
Euro Stoxx 50 futures	~6,417 (cash, +0.9% Fri)	n/a – no weekend session
DAX futures	~25,798 (cash, +0.85% Fri)	n/a – no weekend session
CAC 40 futures	cash +0.48% Fri	n/a – no weekend session
FTSE 100 futures	~10,673 (cash, +0.19% Fri)	n/a – no weekend session
S&P 500 futures (context)	cash 7,483.24 Thu (flat)	n/a – US closed Fri/Sat, reopens Mon
Nasdaq futures (context)	Nasdaq Composite 25,832.67 Thu (-0.8%)	n/a – US closed Fri/Sat, reopens Mon

4. YESTERDAY'S CLOSES (EUROPEAN INDICES, FRIDAY 3 JULY)

INDEX	CLOSE	CHANGE
Euro Stoxx 50	~6,417 (approx.)	+0.9%
DAX	~25,798 (approx.)	+0.85%
CAC 40	n/a (level)	+0.48%
FTSE 100	~10,673 (approx.)	+0.19%
Stoxx 600 (pan-European)	52-week high	+0.69%
FTSE MIB (Italy, context)	n/a (level)	+0.77%

Fourth consecutive weekly gain for the Stoxx 600. Approximate index levels are derived from the prior day's confirmed close plus the day's percentage move where an independent second source for the exact tick was not available; treat "approx." levels as indicative rather than to-the-point precise. Sources: CNBC live markets blog (3 Jul 2026), Investing.com/Trading Economics.

5. US MARKETS — YESTERDAY'S SESSION (THURSDAY 2 JULY, LAST TRADING DAY)

INDEX	CLOSE	CHANGE
Dow Jones Industrial Average	52,900.07	+1.14% (+594.83 pts) - record close
S&P 500	7,483.24	~flat (+<1 pt)
Nasdaq Composite	25,832.67	-0.8%

Tone: split session. Soft June payrolls (+57k vs +113k expected) fuelled a rate-relief rally in cyclicals and pushed the Dow to a fresh record, while a second straight day of semiconductor selling capped the Nasdaq.

Leading: industrials and rate-sensitive cyclicals within the Dow. **Lagging:** semiconductors - Teradyne -13.6%, KLA -11.5%, Intel and Marvell both ~-9%; Tesla -7% despite beating Q2 delivery estimates.

Key takeaway: market is now trading a "soft landing / rate relief" narrative for cyclicals against a live AI-capex doubt narrative in semis - the two will need to reconcile once trading resumes Monday after the long weekend.

6. ASIAN MARKETS — LAST SESSION (MARKETS CLOSED FOR THE WEEKEND)

INDEX	CLOSE	CHANGE
Nikkei 225 (Fri 3 Jul)	69,744	+1.47%
Hang Seng (Fri 3 Jul)	23,055	+0.8% (+174 pts)
Shanghai Composite (Thu 2 Jul)	4,028.90	-2.0%
Kospi (Thu 2 Jul)	7,648.09	-7.89% (-655.32 pts)

Tone: sharply divergent. Japan and Hong Kong extended gains on the softer-dollar, rate-relief trade following the US jobs miss, while Korea suffered its worst one-day drop of the year as the global semiconductor sell-off hit local chip heavyweights hardest. Shanghai also slipped on the same AI-overcapacity worries. Markets are closed through the weekend; next session opens Sunday evening/Monday local time.

7. COMMODITIES

COMMODITY	LEVEL	CHANGE
Brent crude	\$71.56/bbl	-0.33%
WTI crude	\$68.32/bbl	-0.54%
Gold	\$4,186.89/oz	+1.48%
Natural gas (Henry Hub)	\$3.257/mmBtu	+1.91%
Copper	\$6.2208/lb	+0.84%

Gold at record territory on the weaker dollar and softer US jobs data. Oil is holding a small pullback after ceasefire optimism, but remains sensitive to any weekend escalation around the Strait of Hormuz – commercial transits have been recovering but tit-for-tat strikes continued as recently as this week. Copper stays near multi-year highs on persistent supply-constraint concerns. Collection time: ~05:00–06:00 GMT, 4 Jul 2026 (weekend quotes reflect Friday settlement levels).

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE/CONTEXT
US 10Y Treasury yield	4.47%	Eased Thu 2 Jul on soft payrolls
German 10Y Bund yield	2.95–2.96%	Near 2-week high (2 Jul)
EUR/USD	~1.143	Euro firmer vs. softer USD
GBP/USD	~1.34	Sterling firmer vs. softer USD
DXY (dollar index)	~100.8	Declined on soft jobs report

US 10Y yields fell alongside the dollar as the market-implied probability of a September Fed move dropped to roughly 50% from ~64% the day before, following the weak payrolls print. Bunds bucked the move, sitting near a two-week high, keeping the US-Germany spread compressed versus recent weeks. Fed Chair Kevin Warsh's Sintra remarks ("inflation too high", no pre-commitment) argue against reading too much dovishness into the yield move.

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES

n/a – the US Independence Day holiday (observed Friday 3 July) sharply thinned primary activity into the long weekend; no specific European IG/HY/SSA/financials deal terms for Thursday/Friday could be reliably sourced this session.

PIPELINE / EXPECTED THIS WEEK

General market commentary (Schwab, Nuveen fixed-income weekly notes) points to issuance typically slowing around the 4 July holiday window, with supply expected to resume in force from the week of 6 July as US desks return and the post-payrolls rate picture settles. No issuer-specific mandates could be confirmed as n/a for this session – check IFR/GlobalCapital directly Monday morning for firm mandates.

KEY SPREADS

INDEX	LEVEL	DIRECTION
iTraxx Main	n/a – latest confirmed print stale (52bps, Dec 2025)	n/a
iTraxx Crossover	n/a – latest confirmed print stale (251bps, Dec 2025)	n/a
CDX IG	n/a	n/a
Avg. euro corporate IG spread	n/a	n/a

COMMENTARY

Current-session credit spread levels could not be reliably sourced and are marked n/a rather than estimated, per the no-invented-data rule. That said, the equity risk backdrop points to a tightening bias into next week: the Stoxx 600 hit a 52-week high on Friday and European bank stocks are up 21% for the quarter (Bloomberg), historically consistent with supportive, not defensive, credit conditions.

Funding conditions should stay constructive as long as the "soft landing" read on US payrolls holds; the main swing factor is the Strait of Hormuz situation, where any fresh escalation would widen energy and transport-linked credit fastest. Primary window is effectively shut this weekend on the calendar (US holiday, no European session) and should reopen Monday with issuers looking to front-load supply ahead of summer conditions.

10. ECONOMIC CALENDAR

No releases today (Saturday) or tomorrow (Sunday). Calendar below covers the week starting Monday 6 July, London time.

TIME (LONDON)	INDICATOR	CONSENSUS	IMPORTANCE
Mon 6 Jul, AM	Eurozone retail sales	n/a	MEDIUM
Mon 6 Jul, PM	US ISM Services PMI	n/a	HIGH
Wed 8 Jul	FOMC June meeting minutes	n/a	HIGH
Wed 8 Jul	RBNZ interest rate decision	n/a	MEDIUM
Thu 9 Jul	China CPI	n/a	MEDIUM
Fri 10 Jul	Germany CPI	n/a	MEDIUM
Fri 10 Jul	Canada labour market data (June)	n/a	MEDIUM

11. CORPORATE EVENTS & EARNINGS

Mon 6 Jul: No major US or European earnings scheduled.

Thu 9 Jul: PepsiCo (PEP) reports Q2 results pre-market. Consensus: EPS \$2.21 (+4.2% YoY), revenue ~\$24bn (+5.7% YoY).

Fri 10 Jul: Delta Air Lines (DAL) reports Q2 results pre-market, unofficially opening US earnings season. Consensus: EPS \$1.47 (-30% YoY), revenue ~\$18.9bn (+13.2% YoY).

Later in July: Farnborough International Airshow, 20-24 July – largest commercial aviation trade event of the summer, key venue for aircraft order announcements.

12. STOCKS TO WATCH

Delta Air Lines (DAL)	Reports Q2 earnings Fri 10 Jul, first major airline print of the season; consensus EPS down 30% YoY despite revenue growth – sets the tone for the sector.	Volatile
Tesla (TSLA)	Fell 7% Thursday despite beating Q2 delivery estimates; margin/AI narrative in focus into next week.	Downside risk
AeroVironment (AVAV)	Awarded \$500m US Army counter-drone (C-UAS) contract, announced 1 Jul – positive order-flow read for defense-tech names.	Upside
Teradyne / KLA / Lam Research / Applied Materials / Intel / Marvell	Semiconductor complex hit hardest this week (Teradyne -13.6%, KLA -11.5%, Intel/Marvell ~-9%) on AI-capex overcapacity doubts; watch for stabilisation or further de-rating Monday.	Downside risk
Rivian (RIVN)	Jumped ~5% after raising 2026 delivery guidance on strong EV demand.	Upside
European banks (sector: e.g. UniCredit, BNP Paribas)	Stoxx 600 Banks +21% in Q2, sector's best run in years, with renewed Italian consolidation talk supporting the group.	Upside
Container shipping lines (sector: e.g. Maersk, Hapag-Lloyd)	Drewry World Container Index +9% to \$4,530/40ft (2 Jul) on Transpacific/Asia-Europe rate surge and ~30 blank sailings over the next 5 weeks – supportive for freight-linked earnings.	Upside
Oil majors & tankers (sector: e.g. Shell, TotalEnergies, Frontline)	Brent holding near \$71-72 with a live Strait of Hormuz risk premium after fresh tit-for-tat US-Iran strikes; headline-sensitive into Monday.	Volatile
Copper miners (sector: e.g. Glencore, Antofagasta)	Copper near multi-year highs (~\$6.22/lb) on persistent supply-constraint narrative.	Upside
	Gold at record levels (~\$4,187/oz, +1.48%) on a weaker dollar and softer US jobs data.	Upside

Gold miners (sector:

e.g. Newmont,

Barrick)

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US June payrolls: +57,000 vs +113,000 expected; unemployment rate 4.2%, easing near-term hike urgency.

Fed funds held at 3.50–3.75% (effective 3.63%) for a 4th straight meeting; new Chair Kevin Warsh (in office since May 2026) says inflation "too high," resists political pressure to cut. Dot plot still implies a hike to 3.75–4.00% by year-end.

ECB visibly split at the Sintra forum over further tightening after its emergency Iran-war rate hike; Lagarde flags Europe lagging on AI investment.

CORPORATE

European banks: Stoxx 600 Banks index +21% in Q2, sector's second-best quarterly performer after tech.

Defense: AeroVironment wins \$500m US Army counter-drone contract; H1 2026 aerospace & defense M&A tracking toward a ~\$32bn annual pace.

Shipping: Drewry World Container Index +9% to \$4,530/FEU on Transpacific and Asia-Europe rate surge.

Tech/semis: broad chip-sector sell-off (Teradyne, KLA, Lam Research, Applied Materials, Intel, Marvell) on AI-capex overcapacity doubts; Tesla -7% despite a Q2 delivery beat.

POLITICAL / GEOPOLITICAL

US-Iran: tit-for-tat strikes over the weekend despite the 17 June ceasefire MoU; Iran seeking recognised control and toll rights over the Strait of Hormuz.

Ukraine-Russia: Ukraine showcasing long-range drone strikes on Russian refineries; regional fuel-supply strain prompting Kyrgyzstan to seek help from neighbouring states.

A Trump-Xi summit is anticipated, with China seen holding relative leverage; tariff decisions on value-added vs. commodity-grade copper products remain a live trade-policy swing factor.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5 (MONDAY REOPEN)

US reopen: first reaction to Thursday's soft payrolls print and the week's chip-sector rout.

Fed positioning: markets squaring up ahead of Wednesday's FOMC June minutes.

Hormuz risk: any weekend escalation is the key wildcard for oil and risk sentiment at the European open.

Europe's record run: test of follow-through demand after four straight weekly gains and a 52-week Stoxx 600 high.

Asia tech spillover: whether Kospi's -7.89% slide extends into Monday's European and US tech trading.

THIS WEEK'S TOP 5

FOMC minutes (Wed): insight into the Fed's internal rate-hike divide.

US ISM Services (Mon): first post-payrolls economic momentum read.

RBNZ decision (Wed).

China CPI (Thu): global reflation/deflation signal.

Earnings season opens: PepsiCo (Thu), Delta Air Lines (Fri).

THIS MONTH'S TOP 5

Q2 earnings season: banks, industrials and tech report through July.

FOMC decision, 28-29 Jul: first real test of whether Warsh's Fed delivers the year-end hike implied by the dot plot.

Farnborough Airshow, 20-24 Jul: aerospace order-flow catalyst.

Iran ceasefire durability: ongoing tail risk for oil and shipping.

Trump-Xi summit: trade and tariff implications, including pending metals tariff decisions.

15. KEY TRENDS TO WATCH

1 DAY

Reopen reaction to soft US jobs data and the semiconductor sell-off.

Weekend Strait of Hormuz headlines.

Whether Europe's record Friday close carries through to Monday's open.

1 WEEK

FOMC June minutes and US ISM Services PMI.

Start of Q2 earnings season (Pepsi, Delta).

China CPI and RBNZ decision.

1 MONTH

Full Q2 earnings season and the 28-29 July FOMC decision.

Farnborough Airshow order flow.

Iran ceasefire durability and a potential Trump-Xi summit on trade/tariffs.

Sources: CNBC, Reuters-sourced market wraps, Bloomberg, Investing.com, Trading Economics, Yahoo Finance, Seoul Economic Daily, Al Jazeera, Congress.gov (CRS), Drewry, Lloyd's List, Schwab, Nuveen, Federal Reserve, ECB.

Data collected automatically. Verify before making any decision.